

**BAKER
HUGHES**

Rpt Date 17/Jan/2007			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)								
Job# 1		Spud Date 09/Nov/2006			MD 2591.00 m			Progress 0.00 m		Present Activity Wait							
Operator Peak Petroleum Indust. Limited			Company Rep Tom G.May / Chris Newton			Contractor Dolphin Drilling Ltd			Contractor Rep Steve Milne / Terry Nanidis								
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN								
Drilling Assembly						Casing		Volumes	Pump Information								
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4		HCC		PDC			19 1/2	172.50	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0	
Drill Collars			Drill Pipe			20	18 3/4	291.60	1376.7	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0	
OD in	ID in	Length m	OD in	ID in	Length m	13 3/8	12.415	800.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0	
8	3 1/4	6.57	5	4.276	2348.34		12 1/4	2591.00	383								
8	2 5/8	9.35	5	3	158.56				Tot Active								
8	2 3/4	27.29							1759.7	Circulation Times							
8	2 13/16	9.05							In Storage	Surface to Bit		min/stks		Total System		min/stks	
									804	Bottoms Up		min/stks					
Mud Properties						Max Ann Velocity			Hole Information								
Property			Fluid Spec		1	2	3	AV Riser	ft/min	Standpipe Pressure 0 psi		Water Depth 146.00 m					
Sample From					Active Pit	Active Pit		AV Casing	ft/min	Hole Flow USgal/min		Riser Booster Rate USgal/min					
Check Time					09:00	23:00		AV Open Hole	ft/min	Solids Analysis							
MD m					2591.00	2591.00		Vc Open Hole	ft/min	Property		1	2	3	4		
TVD m					2449.98	2449.98		Vc Drill Pipe	ft/min	LGS %		5.59	5.55				
Bit Depth m					2558.00	2588.00		Min Ann Velocity		LGS lb/bbl		50.98	50.56				
Inc deg					1.46	1.46		AV Riser	ft/min	HGS %		4.41	4.36				
Density ppg					9.30	9.30		AV Casing	ft/min	HGS lb/bbl		64.86	64.19				
Funnel Visc. sec/quart					82.0	84.0		AV Open Hole	ft/min	Avg Dens Sol sg		3.3049	3.3041				
Test Temp degF					95.0	95.0		Bit Information									
Rheol Temp degF					120.0	120.0		Size	12 1/4 in								
PV cP					30	31		Hours On Bit									
YP lbf/100ft^2					20	20		Bit Number									
10sec Gel lbf/100ft^2					7	8		BHA Number 10		Rheology							
10min Gel lbf/100ft^2					14	15		Depth In	2385.00 m	600 RPM		80	82				
HTHP Filtrate cc					2.0	3.6		Bit RPM		300 RPM		50	51				
HTHP Cake in/32					3.6	2.0		WOB	klbf	200 RPM		36	35				
HTHP Temp degF					250.0	250.0		Nozzles	4x16:4x12	100 RPM		25	26				
HTHP Pressure psi					500	500		Bit Hydraulics		6 RPM		8	8				
Retort Water %					24.0	24.0		TFA	1.2272 in^2	3 RPM		6	7				
Retort Base Fluid %					64.0	64.0		Nozzle Vel	ft/sec								
Retort Solids %					12.0	12.0		Bit Press Loss	psi								
Corrected Solids %					10.0	9.9		HHP / Area	HP/in^2	Hydraulic Analysis							
Oil:Water Ratio					73:27	73:27		HHP	%	Behavior Index (n)							
Alk (Whole Mud-POM) cc/cc					2.00	1.90				Consistency Index (k)							
Cl (Whole Mud-Clom) cc/cc					49000	51000				#sec^n/100ft^2							
Ca (Whole Mud-Caom) cc/cc					0	0				ECD @ Bit Depth							
Excess Lime lb/bbl					2.6	2.5				ECD @ Casing Shoe							
Brine Density sg					1.22	1.23		Fluid Comments/ Recommendations									
NaCl % wt					0	0		Backloaded some SBM chemicals on the Comrade to town. Transferred some mud from reserve pit to active									
CaCl2 % wt					24	25		SURFACE ACTIVE VOL (9.3ppg) = (Act Pit #2 - 193 bbls + S/Traps - 150bb) = 343 bbls. RESERVE VOL(9.3									
Elect. Stab.V					475.0	471.0		ppg) = (Pit #1 - 89bbls + pit #3 - 317bbls + pit 4 - 343bbls) = 749bbls. TOTAL USEABLE(9.3 ppg) = (Act Pit									
Sand %					0.50	0.50		#2 - 193bbls + Res Pits 1,3, 4 - 749bbls) = 942bbls. OTHER FLUIDS - Base Oil in Chemical pit - 55 bbls.									

ADVANTAGE Daily Drilling Fluids Report - 73



INTEQ

Rpt Date 17/Jan/2007		Well Name/No Bilabri D4		Section Name/No 12-1/4" Section #3		Mud System SYN-TEQ (PARA)	
Job# 1		Spud Date 09/Nov/2006		MD 2591.00 m		Progress 0.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep Tom G.May / Chris Newton		Contractor Dolphin Drilling Ltd		Contractor Rep Steve Milne / Terry Nanidis	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
Rig BULFORD DOLPHIN							
Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1		0.0		0.0	0.0	
CENTRIFUGE	2		0.0		0.0	0.0	
DESANDER	1		0.0		0.0	0.0	
DESILTER	1		0.0		0.0	0.0	
MUD CLEANER	1		0.0	175, 210	0.0	0.0	
SHALE SHAKER	1		0.0		0.0	0.0	
SHALE SHAKER	1		0.0	210, 2 x 175	0.0	0.0	
SHALE SHAKER	2		0.0		0.0	0.0	
SHALE SHAKER	2		0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3		0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3		0.0		0.0	0.0	
				Total Volume Lost	0	0	
Volumes							
Additions bbl		Losses bbl		Total Volumes bbl			
Mud Added	Weight Materials	Downhole	51	Left In Pit	Starting Volume	2615.1	Riser w/o Pipe
Brine	Water	Cased Off		Trip Losses	Daily Additions		Casing w/o Pipe
Base Fluid	Product	Left In Hole		Injected	Daily Losses	51	Open Hole w/o Pipe
Recycled	Other	Discharged		Spill To Environment	Ending Volume	2564.1	String Displacement
		SCE		Onshore Disposal	Net Change	-51.0	String Capacity
		Evaporation		Returned			Total Hole w/ Pipe
		Other Losses					Total Active
							Total Reserve
							804.0
IADC Hours							
Wait				24			
BHDF Fluids Rep		BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost
Waboso Peter / Ifeanyi Nwosu		234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	900.00 USD	1801101.18 USD
							Inventory Value
							440429.63 USD
Page 2							
Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.							

**BAKER
HUGHES**

Rpt Date 17/Jan/2007		Well Name/No Bilabri D4		Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)				
Job# 1	Spud Date 09/Nov/2006			MD 2591.00 m		Progress 0.00 m		Present Activity Wait			
Operator Peak Petroleum Indust. Limited		Company Rep Tom G.May / Chris Newton		Contractor Dolphin Drilling Ltd		Contractor Rep Steve Milne / Terry Nanidis					
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN			
Primary Currency USD			Secondary Currency			Totals USD					
Daily Product Cost		0.00		Daily Product Cost		0.00		Primary Product 1723194.93			
Daily Tax		0.00		Daily Tax		0.00		Secondary Product 0.00			
Debit/Credit		0.00		Debit/Credit		0.00		Primary Engineering 77906.25			
Daily Engineering Cost		900.00		Daily Engineering Cost				Secondary Engineering 0.00			
Total Daily Cost		900.00		Total Daily Cost		0.00		Primary Total 1801101.18			
Total Inventory Value		440429.63		Total Inventory Value		0.00		Secondary Total 0.00			
							Deck Load		557791 lb		
Products and Services											
Product		Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
Bulk											
MIL-BAR		1000 kg	100						100	127.96	114.15
Oil Based Product											
CARBO-GEL		25 kg	270			180			90	6.05	6.92
MIL-LIME		25 kg	240			160			80	5.26	4.61
OMNI-COTE		55 USgal	10			8			2	0.25	0.14
OMNI-MUL		55 USgal	20			8			12	5.34	4.97
OMNI-PLEX		55 USgal	16			12			4	4.90	6.42
OMNI-TEC		55 USgal	20			16			4	2.80	2.21
PARA-TEQ		1 bbl	844						844		
Water Based Product											
CAUSTIC SODA		25 kg	32						32		
MIL-GUAR		25 kg	50						50	0.24	0.11
OX-BAN		5 USgal	11						11		
Xanthan Gum		25 kg	39						39	0.42	0.19
XCIDE 102		55 USgal	5						5	0.01	
LCM											
CALCIUM CARBONATE - FINE		25 kg	200						200	6.45	3.71
CALCIUM CARBONATE - MED		25 kg	480			240			240	6.62	2.96
MIL-PLUG - MEDIUM		25 kg	71						71	0.07	0.51
MIL-PLUG-COARSE		25 kg	168						168		
MIL-SEAL-COARSE		25 kg	167						167		
MIL-SEAL-FINE		25 kg	107						107	0.07	0.51
SOLUFLAKE C		50 lb	40						40	0.06	0.47
SOLUFLAKE F		50 lb	147						147	0.06	0.47
SOLUFLAKE M		50 lb	147						147	0.06	0.47
Other											
BLACK MAGIC SF T		25 kg	120						120		
CALCIUM CHLORIDE (97%)		25 kg	360			200			160	11.45	11.98
BHDF Fluids Rep		BHDF Rep Phone		Warehouse	Warehouse Phone		Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 3
Waboso Peter / Ifeanyi Nwosu		234-803-402-0440		Onne	234-84-462609		Lawson Ogaree	900.00 USD	1801101.18 USD	440429.63 USD	
Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.											